

IND AS 103 — BUSINESS COMBINATIONS

Acquisition Method, Goodwill & Red Flags

1. DEFINITION OF BUSINESS COMBINATION

A transaction or other event in which an acquirer obtains control of one or more businesses. Control is assessed under Ind AS 110. Acquisition method is applied (except common-control transactions which often use book-value method under Indian practice).

2. ACQUISITION METHOD STEPS

1. Identify the acquirer 2. Determine acquisition date 3. Recognise and measure identifiable assets acquired, liabilities assumed and any non-controlling interest 4. Recognise and measure goodwill or gain from bargain purchase.

3. GOODWILL & BARGAIN PURCHASE

Goodwill = Consideration transferred + NCI + FV of previous equity interest – net of identifiable assets acquired and liabilities assumed (all at FV). Bargain purchase gain is recognised in P&L; after reassessment.

4. JOURNAL ENTRIES (SIMPLIFIED)

Dr Identifiable Assets (FV) Dr Goodwill
Cr Liabilities (FV) Cr Cash/Equity consideration Cr NCI

5. RED FLAGS

- Purchase price allocation pushing value into indefinite-life intangibles or goodwill
- Contingent consideration not measured at fair value
- Common-control transactions accounted at fair value when book-value method is required
- Bargain purchase gain recognised without rigorous re-assessment
- Incomplete identification of intangible assets

Source: Official Ind AS (2025-26) · Prepared by Dr. Debasis Pahi